



Valuation Process of the USPAP

The Appraisal Standards Board of the Appraisal Foundation, a national group of representatives from all the big appraisal and related organizations, created the USPAP-the Uniform Standards of Professional Appraisal Practice. All licensed appraisers abide by the USPAP.

So let me take you through my process: It's one that pretty much every appraiser uses.



Step 1. State the problem

What's the purpose of this appraisal? What am I trying to solve? By defining the problem, it informs my approach, and what kind of data I need to gather.

Example

I had a War of the Roses situation a while back: Couple went through a divorce and he moved out. It took them three years to hash out the details. Based on their divorce settlement terms, I had to figure out what the house was worth three years ago when he left and stopped making payments.

See what I mean? That's a whole different problem than, say, a lender wanting to know if a house is worth what the buyers agreed to pay for it.



Step 2: List the data needed and where to find it

The data needed will obviously change, depending on the problem I'm trying to solve. It'll also change, depending on the property type-commercial or residential, multi-family or single-family, condo or detached, old or new, yadda yadda (this is also all part of the problem statement).



Step 3: Gather the data

This is a long step, and it takes the most of my time. There are two types of data, and there are three approaches to valuation, so let's talk about that next.

Types of Data

- **General data:** What's going on in the national economy, the region, the city, and the neighborhood? Demographics, income level, employers moving in or moving out, employment figures, cost of living, population growing or shrinking, all of that. Way different than a CMA or BPO, eh?

- **Specific data:** The site, positioning on the site, improvements, etc.

Approaches for Valuation

I gather general and specific data for the three approaches to valuation: sales comparison, cost to reproduce, and income and expense approach.



Step 4: Determine the property's highest and best use

Next, I look at the property-not from how it is right now, but from its highest and best use. That means, if there were no building there, what might be there instead? Usually for single-family residences, highest and best use is as it is right then. It's zoned for single-family, it has single-family, that's it.

For commercial properties, highest and best use comes into play a lot. It's a warehouse now, but what if it were a 10-unit condominium complex? Or a manufacturing plant? See what I mean? Even in residential properties, what if it could be a multi-family instead of a single-family? Sometimes that's possible.

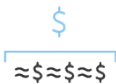


Step 5: Estimate the value of the land



Step 6: Estimate property value using three approaches to value

For this step, I value the property in three different ways: the sales comparison approach, the cost approach, and the income approach.



Step 7: Reconcile the data

This doesn't mean I add up the data and split the difference. I actually weight one approach more than the others. For instance, for a single-family residential, the sales comparison will usually be weighted more heavily. For a theater, which is a one-off kind of property, I might use the cost approach. And for a rental, of course the income approach is heaviest.

Step 8: Report the appraised value